FIN 439 Project 1 — Research Evolution

Company: Ulta Beauty, Inc. (ULTA)
Intended User: Buy-side investment committee
Project: Corporate Finance Application

Edition A — Original Research Baseline

Company: Ulta Beauty, Inc.
Intended user: Portfolio manager/investment committee
Initial action: Watch/defer

Valuation date: September 1, 2026
Primary filing: Form 10-K
Reporting period: Fiscal year ended January 31, 2026
Filing date: March 26, 2026
Accession number: 0001104659-26-035243
Currency: U.S. dollars
Units: Thousands
Diluted shares: 44.991 million
Cash and cash equivalents: $424.243 million
Debt: $62.287 million

Source: Ulta Beauty 2026 Form 10-K.

My initial action will be to watch/defer. As of right now Ulta looks to be a strong and growing beauty company, but I just do not have enough evidence to know if their stock is a good investment at its current price.

Known evidence

- Net sales were $12.393 billion in fiscal 2025.
- Comparable sales increased 5.4%.
- Operating income was about $1.533 billion.
- Cash and cash equivalents were $424.243 million.
- Debt outstanding was $62.287 million.
- Diluted weighted-average shares were 44.991 million.

Source: Ulta Beauty 2026 Form 10-K.

I think Ulta's value will depend on factors such as sales growth, profit margins, and future cash flows. I also think WACC and long-term assumptions will be important for this project.

Unknowns

- what five-year growth rate is reasonable
- what WACC should be used
- which companies are the best comparables
- whether Ulta is currently undervalued or overvalued

For my research plan I will review Ulta's filings and other reliable sources, build a five-year financial forecast and compare Ulta's with other similar companies before making a recommendation.

Partner Question: What evidence would make you change your belief that Ulta can continue growing comparable sales?

My response: I would become less confident about Ulta if comparable sales declined for multiple periods.

I did not use generative AI to write or analyze this Edition A.

Edition B — Research Evolution

Research Objective

For Edition B, I expanded my initial Ulta Beauty research into a five-year financial forecasting and valuation model. My goal was to determine whether Ulta represents an attractive investment opportunity for a buy-side investment committee that currently holds no position in the company.

I used Ulta's FY2025 financial statements, previous FIN 439 lab assignments, and Python-based financial modeling to evaluate its projected cash flows and estimated intrinsic value.

Changes From Edition A to Edition B

Category	Edition A	Edition B
Investment recommendation	Watch/defer	Provisional do not initiate at the later market reference price
Financial analysis	Historical filing research	Five-year three-statement forecast and FCFF DCF

Revenue growth	Not determined	Base assumption of 5% annually
WACC	Not determined	9.1% base-case assumption
Terminal growth	Not determined	2.5%
Valuation	Not yet calculated	286. 39–463.74 per diluted share (base: $393.71)
Comparable companies	Not determined	Sally Beauty Holdings and Bath & Body Works considered
Principal risks	Growth, profitability, and valuation uncertainty	Gross margin, inventory, SG&A, WACC, terminal assumptions, and source timing

The main change in my analysis was moving from an initial judgment based on historical performance to a valuation supported by projected financial statements and discounted cash flows.

Financial Research

My historical financial information came from Ulta Beauty's FY2025 Form 10-K, filed March 26, 2026.

Key financial figures include:

- Revenue: $12,392.820 million
- Gross profit: $4,845.224 million
- Operating income: $1,532.992 million
- Net income: $1,153.479 million
- Cash and cash equivalents: $424.243 million
- Interest-bearing debt: $62.287 million
- Diluted weighted-average shares: 44.991 million

Using this information, I developed projected financial statements for FY2026 through FY2030. My base model assumed 5% annual revenue growth, historical gross margin and SG&A

relationships, approximately $435 million in annual capital expenditures, and a 9.1% WACC. These assumptions were based on previous coursework and modeling decisions rather than official company forecasts.

Valuation Results

The five-year free cash flow to the firm model produced three valuation scenarios.

Scenario	Estimated value per diluted share
Downside	$286.39
Base	$393.71
Upside	$463.74

The downside scenario reflects weaker revenue growth, lower gross margins, higher operating expenses, greater inventory requirements, and a higher discount rate. The upside scenario assumes stronger sales growth, improved margins, better inventory management, and a lower WACC. The October 16, 2026 reference stock price used in my project was $592.94. This market price was above my estimated valuation range. However, because the model uses FY2025 financial information, I recognize that the comparison uses different dates and should be updated before making a final investment decision.

Comparable-Company Research

I considered Sally Beauty Holdings (SBH) and Bath & Body Works (BBWI) as potential comparable companies. Both companies have exposure to beauty or personal-care retail, but they differ from Ulta in their product offerings, scale, growth opportunities, and operating economics. I included both P/E and EV/EBITDA approaches in my model to provide additional valuation perspectives. I treated these comparisons as supporting analysis rather than relying on them as the primary basis for my recommendation. Differences in reporting periods and the treatment of operating leases can affect comparability.

Testing and Validation

I used Python to verify historical financial relationships, projected balance sheets, cash flow calculations, and DCF sensitivity. I also tested how changing annual revenue growth from 5% to 4% would affect my valuation. The base-case value was $393.71 per share, while the lower-growth case produced $384.14 per share. This confirmed that lower projected sales growth reduced estimated intrinsic value under the tested assumptions. The model also tested the direction of valuation changes when WACC, terminal growth, revenue growth, and operating costs were adjusted. A deliberately incorrect cash balance was used to test whether the cash-flow reconciliation could detect an accounting inconsistency.

AI Assistance and Research Judgment

I used OpenAI Codex and ChatGPT to assist with Python code development, debugging, model validation, and organizing my written analysis. One important lesson from reviewing the AI-assisted modeling output was that balanced financial statements do not automatically mean the financial assumptions are economically realistic. For example, the model simplifies working capital, depreciation, operating leases, and future share-count changes. I therefore used the valuation results as scenario estimates rather than treating them as exact future stock prices. I also retained the distinction between historical financial information and the later stock-price comparison.

Investment Recommendation

My initial Edition A recommendation was watch/defer because I did not have enough valuation evidence. After completing the financial model, my provisional recommendation was to not initiate a position at the referenced October 16, 2026 market price. The estimated DCF range of $286.39 to $463.74 was below that reference price. However, I would want updated financial statements, a refreshed WACC, and consistent comparable-company information before presenting a final valuation-date recommendation. I would reconsider the recommendation if updated financial information supported stronger sustainable cash flows or if the stock price offered an adequate margin of safety.

Conclusion

The biggest change from Edition A to Edition B was the addition of a complete financial forecasting and valuation model. Edition A identified the investment question and the information I needed to investigate. Edition B used financial statements, DCF valuation, sensitivity testing, and comparable-company research to develop a more informed recommendation. My final conclusion remains conditional because financial assumptions and market conditions can change.

Primary source: Ulta Beauty FY2025 Form 10-K, filed March 26, 2026. https://www.sec.gov/Archives/edgar/data/1403568/000110465926035243/ulta-20260131x10k.htm